

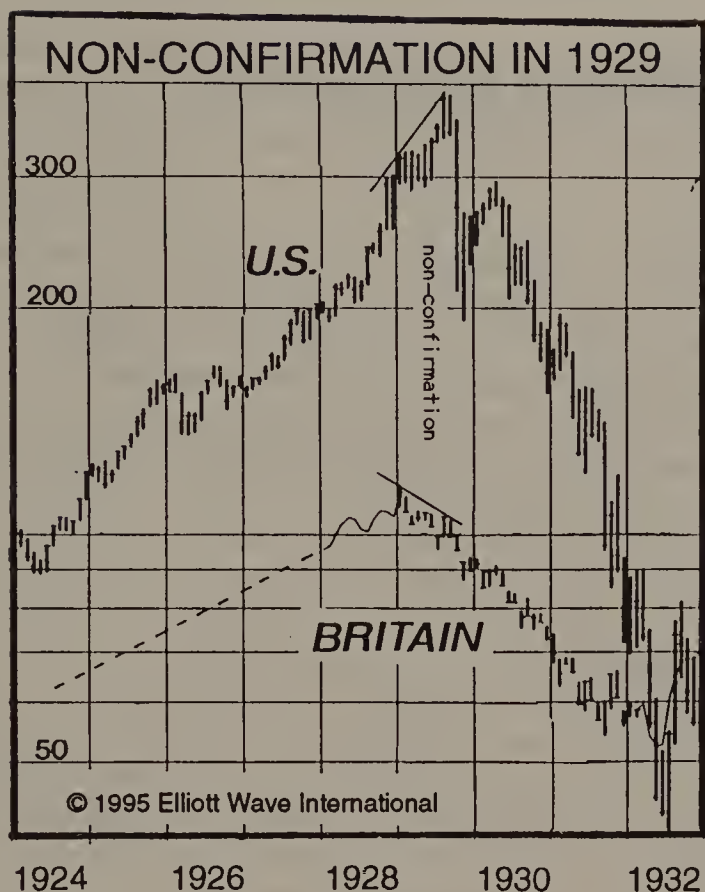


Figure 9-7

daily in third waves than in fifth waves. Even if the rising stocks' price changes are greater in a fifth, fewer stocks rise on the average day. As *The Elliott Wave Theorist* pointed out in a special section in the April 1983 issue (see Appendix A of *Elliott Wave Principle*), "There is no question that in fifth waves, a lagging advance-decline line (the cumulative net daily advances minus declines) is a normal occurrence." As the chart then illustrated, a weak a-d line has been a dominant characteristic of fifth waves. Prior fifth waves of comparable or similar degree occurred in 1921-1929 and 1962-1966, during which periods the a-d line was flat or only moderately upsloping after the initial "kickoff" year. *The Elliott Wave Theorist* placed its expectation for wave V in this perspective:

A relatively poorly performing a-d line from 1982 to (I expect) 1987 will be a "sell signal" for the entire Supercycle from 1932. The lesson for now is, don't use that underperformance as a reason to sell too early and miss out on what promises to be one of the most profitable uplegs in the history of the stock market.